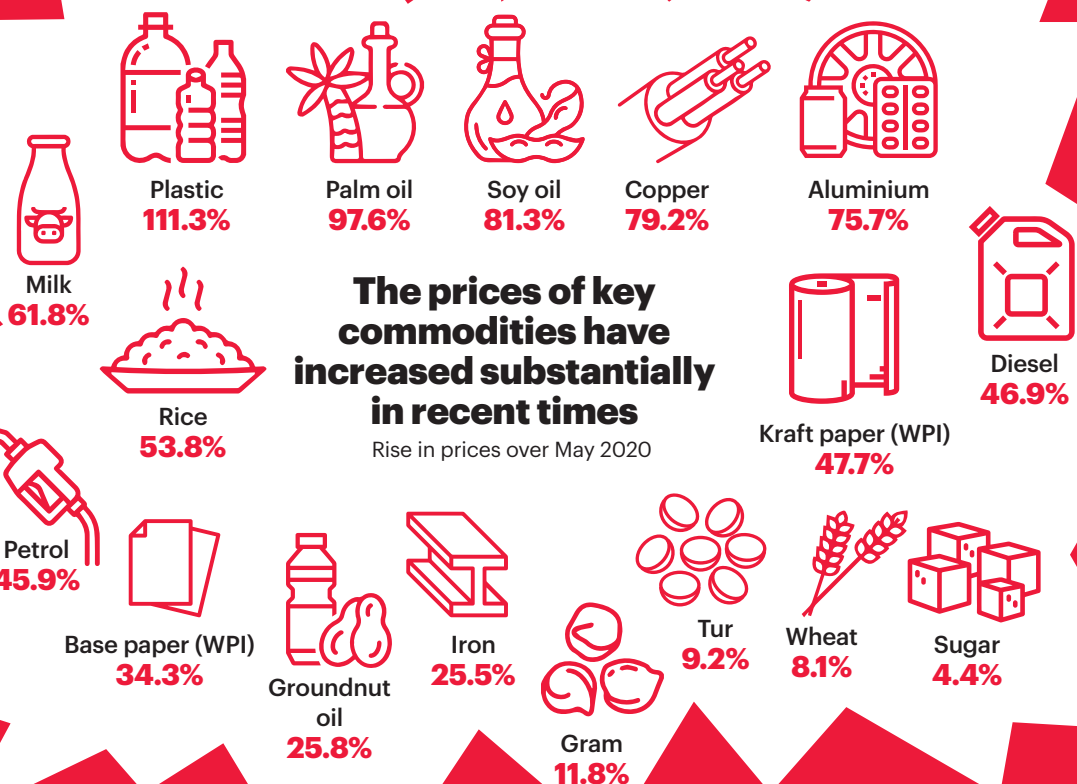


# SURGING PRICES



Source: HDFC Securities

GRAPHICS BY **TANMOY CHAKRABORTY**

and CPI (consumer price index) at 6.95 per cent in March 2022,” he added. In April, WPI and CPI surged to 15 per cent and 7.8 per cent, respectively.

Deven Choksey, Promoter of KRChoksey Group, says the continuous rise in cost of materials has forced manufacturers to cut pack sizes, especially at lower price points, to protect their margins from falling beyond a threshold. “Consumers are buying judiciously as most of them are not willing to increase their spend. Meanwhile, companies are reducing grammage. This is going to continue for some time,” he says. Reducing pack sizes for strategically priced SKUs (stock keeping units) like ₹5 or ₹10 packs, is a commonly used tool by manufacturers to arrest the slide in profitability. HUL, for example, witnessed its volumes fall in the rural market in the October-December quarter due to reduction in grammage, Mehta adds.

If executives at FMCG companies are burning the midnight oil to find the right value proposition, manufacturers of discretionary items such as ACs, refrigerators and televisions, too, have a lot on their minds. According to Kamal Nandi, Business Head and Executive Vice President of Godrej Appliances, shortage of components coupled with an increase in prices and a depreciating rupee has resulted in a rise of 30 per cent in manufac-

turing costs since December 2020. “So far, the industry has passed on only up to 15 per cent of the cost increase in the form of price hikes. In the past four quarters, a 3 per cent hike in prices has been effected every quarter,” he says. Manufacturers are left with no option but to raise prices further. That, however, would not be sufficient and companies would have to absorb a part of the growing cost, resulting in lower margins, say experts.

After subdued sales in the past two summers, an early rise in temperatures had boosted the demand for ACs and refrigerators. But shortage of components like compressors for ACs and refrigerators, and a steep rise in costs may spoil the party, say manufacturers.

**W**ITH INFLATION BLAZING AWAY, Choksey sees no respite for consumers and companies in the near future. According to him, even if one assumes that the prices of commodities have peaked, it would take at least six to eight quarters for prices to cool off to the levels at which they were before the current inflationary cycle began.

Consumer goods majors seem to be on the same page. According to Nestle’s Narayanan, continued inflation is